Assessment comments

Example 2: SLP2

Subject: Economics

Component: SL paper 2

Question 1 Part	Marks awarded	Marks available	Comments
(a)(i)	1	2	Only **one** point appears from the markscheme: • investment by a multinational corporation.
(a)(ii)	1	2	The term "economy" is not precise enough. "Labour force" or "the economically active" must be specified for full marks.
(b)(i)	2	2	The correct values are given to two decimal points and the workings are provided.
(b)(ii)	0	1	The answer is incorrect.
(b)(iii)	2	2	The final answer is correct and the workings are provided.
(c)	4	4	Two marks are allotted for the diagram and two marks for the explanation. The diagram is correct and includes what is required by the markscheme—an increase in long-run aggregate supply (LRAS) and an increase in potential output. The aggregate demand curve and the short-run aggregate supply curves are irrelevant and hence ignored. The explanation indicates that potential output would increase, and the shift of the LRAS is supported by the improvements in factors of production (human capital).
(d)	4	4	Two marks are allotted for the diagram and two marks for the explanation. The diagram meets the requirements of the markscheme (since either production or consumption externalities are accepted). Some external cost (pollution) has been clearly identified, and there is a mention that the market brings about a higher quantity than what is socially desirable **and** that resources are misallocated (although only one of those two justifications is needed to earn two marks for the explanation).
(e)	1	4	Zero marks are allotted for the diagram and one mark for the explanation. The diagram does not reflect any form of intervention or change in exchange rate. There is a vague notion that the central bank increases the supply of denar through the sale of currencies.
(f)	4	4	Two marks are awarded for the diagram and two marks for the explanation. The diagram is one of the approved ones for the imposition of a quota. The explanation states that price would decrease and domestic production would decrease. Thus, it meets the full requirements of the markscheme.

Question 1 Part	Marks awarded	Marks available	Comments
(g)	10	15	The level descriptors are as noted below. • Demands of the question (10-to-12 markband)/(13-to-15 markband): An understanding of the characteristics of a common market is demonstrated. The response provides a balanced view of the advantages and disadvantages of membership to the common market. While the descriptor is the same for both the 10-to-12 and the 13-to-15 markbands, the mark awarded may lean towards the lower range given the lack of focus when the discussion moves towards interest rates and inflation. • Theory (seven-to-nine markband): Some arguments are explained but others need elaboration (e.g., possible exploitation of resources and control of inflation). • Terms (seven-to-nine markband): Some terms are used adequately but some are misused (profits and current account). • Diagram(s) (10-to-12 markband): The aggregate demand/aggregate supply diagram is partly explained. The quota diagram already appears in part (f) but is further elaborated on. • Evaluation (10-to-12 markband): There is evidence of judgements, but they are not always well supported. The evaluation is otherwise balanced. • Use of text (10-to-12 markband): There is extensive use of the text, but some of the information is misinterpreted. Using the best-fit method, this answer almost meets some of the descriptors in the 10-to-12 markband, but a few descriptors fall in the lower ranges. A mark of 10 is thus in order.
Total	**29**	**40**	